



How governments fail: hyperinflation

Public confidence in a country's currency can collapse, resulting in exceptionally high rates of inflation. These episodes of hyperinflation are comparatively rare, but always very serious.

How it works

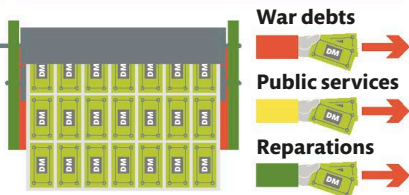
Trust in the value of a currency is essential to maintain price stability in modern economies. Governments therefore seek to control money supply in order to prevent dramatic price fluctuations that could erode trust. But when governments are weak or not trusted, these controls can break down. A weak government, for example, may be unwilling to raise taxes to pay for

public spending, printing money to pay for it instead. Prices can thus rise very rapidly as citizens refuse to believe that money has any value, and so they demand more of it in any sale. Governments can subsequently feel pressured to issue more and more money in order to keep the economy moving. When this happens, hyperinflation sets in, and it can be very hard for governments to regain control.

Case study: Hyperinflation in Germany, 1921-24

Germany experienced an infamous period of hyperinflation after World War I.

COLLAPSE IN TRUST



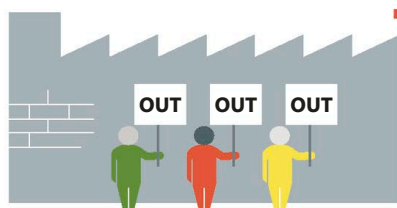
1. Following war defeat, Germany's new government is unstable. It prints money to pay for war debts, reparations, and public services.



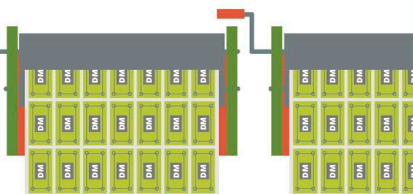
2. The German government starts using the money it prints to purchase foreign currency, causing a collapse in the value of the German mark.



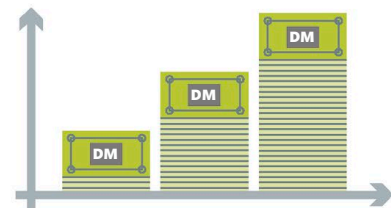
3. By 1922, Germany cannot pay reparations. France and Belgium occupy the Ruhr to enforce payment in goods instead of money.



4. German workers in the Ruhr go on strike. The government prints more money to pay their wages.



5. As the economy collapses, the German government continues to print money.



6. Domestic prices in Germany explode as confidence in the currency evaporates.